

Non-Solvency II Firms - Senior Management Functions

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _small non-directive insurer_.

1.2

In this Part, the following definitions shall apply:

Chief Actuary function

has the meaning given in 4.1.

Small Insurer Senior Management function

has the meaning given in 3.1.

With-Profits Actuary function

has the meaning given in 5.1.

2

General

2.1

Each of the functions in 3 to 5 is a _controlled function_ and a _PRA senior management function_.

2.2

PRA senior management function holders must be approved by the _PRA_ to perform the applicable _PRA senior management function_.

2.3

To the extent that:

1. (1) a _firm_ appoints a _person_ to perform a function which, but for this rule, would be a _senior insurance management function_;
2. (2) the appointment is solely to provide cover for a _PRA senior management function holder_ whose absence is:
 1. (a) temporary; or

2. (b) reasonably unforeseen; and
3. (3) the appointment is for less than 12 weeks in a consecutive 12-month period,

the description of the applicable PRA senior management function_ does not relate to those activities of that person_.

2.4

If, in relation to a firm_ :

1. (1) a PRA senior management function holder_ also performs FCA activities_ , performance of the PRA senior management function_ will include the performance of those FCA activities_ , provided the following conditions are met:

1. (a) the PRA's_ approval to perform that PRA senior management function_ has been granted and continues in force;
2. (b) at the time of approval being granted by the PRA_ , that person_ was not subject to an FCA approval_ to perform the particular FCA governing function_ ;
3. (c) the firm_ made an FCA activities notification_ ; and
4. (d) that person_ performs and is continuing to perform the FCA activities_.

2. (2) a PRA senior management function holder_ has been performing FCA activities_ in the circumstances set out in (1), and that person_ :

1. (a) ceases to perform the PRA senior management function_ ;
2. (b) within three months_ of ceasing performance, is approved to perform a new PRA senior management function_ at the firm_ ; and
3. (c) continues to perform the FCA activities_ ,

performance of the new PRA senior management function_ will include the performance of those FCA activities_ , provided the conditions in (1) (a) to (d) are met.

2.5

If a PRA senior management function holder_ to whom 2.4 applies ceases to perform a PRA senior management function_ but continues to perform the FCA activities_ , 2.4 will continue to apply in respect of the performance of the FCA activities_ until the earlier of:

1. (1) approval by the FCA_ in respect of the performance by that person_ of those FCA activities_ as an FCA governing function_ in relation to the firm_ ; or
2. (2) three months_ from the time that the person_ ceased to perform that PRA senior management function_.

3

Small Insurer Senior Management Function

3.1

The Small Insurer Senior Management function_ (SMF 25) is the function of:

1. (1) having responsibility for the conduct of the regulated activities_ ; or
2. (2) chairing the governing body_ ,

of a small non-directive insurer_.

3.2

1. (1) A _firm_ must ensure that one or more _persons_ performs the _Small Insurer Senior Management function_ on its behalf.
2. (2) A _firm_ must ensure that there is a _person_ appointed to the _Small Insurer Senior Management function_ who has ultimate responsibility for the conduct of its _regulated activities_.
3. (3) If a vacancy arises in respect of that aspect of the _Small Insurer Senior Management function_ referred to in (2) above, a _firm_ must ensure that it appoints a _person_ to fill that vacancy as soon as practicable.

4

Chief Actuary Function

4.1

The _Chief Actuary function_ (SMF 20) is the function of having responsibility for the function specified in Non-Solvency II Firms ? Actuarial Requirements 5.1 in relation to a _small non-directive insurer_.

5

With-Profits Actuary Function

5.1

The _With-Profits Actuary function_ (SMF 20a) is the function of having responsibility for the function specified in Non-Solvency II Firms ? Actuarial Requirements 6.1 in relation to a _small non-directive insurer_.